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CASE #	CASE NAME	HEARING NAME
CVME2502623	GLOBAL PACIFIC MANAGEMENT VS US BANK NATIONAL ASSOCIATION	DEMURRER

Tentative Ruling: Request for Judicial Notice granted as to exhibits 1-21. Plaintiff's second cause of action for breach of the covenant of good faith and fair dealing is stricken from the SAC under C.C.P. § 436(b) because it was not filed in conformity with Rule 3.1324 or a court order. Demurrer to First Cause of Action for Negligent Interference with Economic Relations with 20 days leave to amend.

The Court will use its discretion to consider an untimely opposition. (C.R.C., Rule 3.1300(d) ["No paper may be rejected for filing on the ground that it was untimely submitted for filing. If the court, in its discretion, refuses to consider a late filed paper, the minutes or order must so indicate."]; *Slayton v. Superior Court* (2006) 146 Cal.App.4th 55, 58, n. 2; *Kapitanski v. Von's Grocery Co.* (1983) 146 Cal.App.3d 29.) The Court notes that the delay was over the 4th of July weekend and the Defendant filed a reply that substantively addressed each of Plaintiff's arguments on their merits which is the preferred way to decide this matter.

Second Cause of Action for Breach of the Covenant of Good Faith and Fair Dealing - The Court may, at any time in its discretion, and upon terms it deems proper: (a) strike out any irrelevant, false, or improper matter inserted in any pleading, and (b) strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (C.C.P. § 436.)

The right to amend is limited to the original complaint, and there is no right to amend an amended complaint without leave of court. (*See Hedwell v. PCMV, LLC* (2018) 22 Cal.App.5th 564, 578-579.) Although the Court granted Plaintiffs leave to amend the FAC, such leave was limited to amend only the existing four causes of action, not to add new claims. (Minute Order, dated March 9, 2026 ["Demurrer sustained as to all four COAs for failure to state sufficient facts to constitute a cause of action. Plaintiff is granted 20 days leave to amend."].) Indeed, when a court grants leave to amend after sustaining a demurrer, the scope of permissible amendment is limited to the causes of action to which the demurrer has been sustained. (*See People v. Clausen* (1967) 248 Cal.App.2d 770, 785-786 ["such granting of leave to amend must be construed as permission to the pleader to amend the cause of action which he pleaded in the pleading to which the demurrer has been sustained."]; *see also Harris v. Wachovia Mortg., FSB* (2010) 185 Cal.App.4th 1018, 1023 [a plaintiff may not amend the complaint to add a new cause of action without having obtained permission to do so].)

Although there is a liberal policy to permit the amendment of pleadings, any amendments requiring a change in the nature of the claims or defenses previously pleaded must be made upon formal motion for leave to amend. (Weil & Brown, *Cal. Prac. Guide: Civ. Proc. Before Trial* (The Rutter Group 2026) Ch. 6-E, § 6:636 ["The court may grant leave to amend the pleadings at any stage of the action. A party may discover the need to amend after all pleadings are completed and new information requires a *change in the nature of the claims or defenses* previously pleaded. Such changes usually cannot be made on ex parte procedure…Rather, a formal motion to amend must be served and filed."] [original emphasis].)

Here, Plaintiff's SAC contains a new cause of action for breach of the covenant of good faith and fair dealing, which is accompanied by new factual allegations and prayer for attorney fees and exemplary damages. (SAC, ¶ 13-22, Prayer (a) and (c).) On March 24, 2026, the Court denied Plaintiff's motion for leave to add the first cause of action to the SAC because Plaintiff's motion did not comply with the requirements for a motion for leave to amend a pleading set forth in California Rules of Court, Rule 3.1324. (Minute Order dated March 24, 2026.) To date, Plaintiff has failed to bring a compliant motion for leave to amend to add the new cause of action, allegations, and prayer to its operative complaint.

Demurrer - A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.)

"The tort of negligent interference with prospective economic advantage is established where a plaintiff demonstrates that (1) an economic relationship existed between the plaintiff and a third party which contained a reasonably probable future economic benefit or advantage to plaintiff; (2) the defendant knew of the existence of the relationship and was aware or should have been aware that if it did not act with due care its actions would interfere with this relationship and cause plaintiff to lose in whole or in part the probable future economic benefit or advantage of the relationship; (3) the defendant was negligent; and (4) such negligence caused damage to plaintiff in that the relationship was actually interfered with or disrupted and plaintiff lost in whole or in part the economic benefits or advantage reasonably expected from the relationship." (*North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 786.)

Plaintiff's claim for negligent interference is based on correspondence that Defendant sent to Hall, which states in pertinent part: "First, GPM filed for bankruptcy on November 29, 2023, and was required to list all contracts and unexpired leases as well as rental income on the bankruptcy schedules *under penalty of perjury*. If the purported long-term lease was effective as of July 2022, the lease would have been listed. It was not. Additionally, GPM represented under penalty of perjury that it was not receiving any rental income." (SAC, p. 4 and Exh. C ["Correspondence"].)

Plaintiff alleges that by sending the Correspondence, Defendant implied that Plaintiff had committed the criminal act of perjury and intended such implication to sully Plaintiff's reputation and induce Hall to stop doing business with him. (SAC, ¶ 18-19; Opp., 5.)

Defendant argues that Plaintiff fails to allege that Defendant owed a duty of care to Plaintiff, that Defendant was negligent in making truthful statements regarding Plaintiff's bankruptcy filing, or that Plaintiff suffered any damages as a result of the Correspondence.

Duty of Care - Defendant argues that Plaintiff failed to allege that Defendant owed it a duty of care to state a claim for negligent interference with economic relations. The "tort of *negligent* interference with economic relationship arises only when the defendant owes the plaintiff a duty of care." (*Stolz v. Wong Communications Limited Partnership* (1994) 25 Cal.App.4th 1811, 1825 [original emphasis].)

"A duty of care may arise through statute, contract, the general character of the activity, or the relationship between the parties." (*Ratcliff Architects v. Vanir Construction Management, Inc.* (2001) 88 Cal.App.4th 595, 604-605.)

Contractual Privity - Here, the SAC alleges that Plaintiff "entered into a settlement contract ("the Settlement") with the Defendant on August 27, 2021 relating to the Property, settling certain claims and counter-claims. A true and correct copy of the Settlement is attached hereto as Exhibit 'A.' Because of this contractual relationship, the Defendant was under an obligation to take no steps that would deprive the Plaintiff of the bargain it had struck in the Settlement: a fair opportunity to restructure his debt and retain control of the Property." (SAC, ¶ 5.)

Although Defendant repeatedly characterizes the settlement communication as "confidential" (Demurrer, pp. 1, 7, 9), Defendant does not assert any privilege. Nevertheless, Plaintiff fails to plead the existence of any agreement between itself and Defendant that imposes a contractual duty of care upon Defendant.

To plead a written contract, "the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307.) Defendant argues that Plaintiff has failed to attach a copy of the purported settlement. (Demurrer, p. 6.) Indeed, Exhibit A to the SAC is a letter from the IRS that assigned Plaintiff an Employer Identification Number (SAC, Exh. A), and there is no document, dated August 27, 2021, attached to the Complaint. Although Plaintiff attaches a copy of a settlement agreement as Exhibit A to his opposition, extrinsic evidence may not be considered in ruling on a demurrer. (*Southern Pacific Land Co. v. Westlake Farms, Inc.* (1987) 188 Cal.App.3d 807, 817 [" 'Because the demurrer tests the pleading alone, and not the evidence or other extrinsic matters, it lies only where the defects appear on the face of the pleading.' [Citation.]"].) Even if the Court were to consider the settlement agreement attached to Plaintiff's opposition in ruling upon this demurrer, the agreement is not signed by either party. (Opp., Exh. A, p. 8.) Accordingly, the SAC fails to attach a copy of a valid agreement between the parties.

Alternatively, the plaintiff may also plead the legal effect of the contract by "alleg[ing] the substance of its relevant legal terms." (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1489). Here, however, Plaintiff fails to do so. Rather, Plaintiff only generally alleges that the parties agreed to settle "certain claims and counter-claims," and concludes that this alleged agreement imposed an obligation upon Defendant "to take no steps that would deprive the Plaintiff of the bargain it had struck in the Settlement: a fair opportunity to restructure his debt and retain control of the Property." (SAC, ¶ 5.) These allegations are insufficient to state the existence of a contractual relationship or impose a duty of care upon Defendant, as a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar, supra*, 67 Cal.2d at 713.)

Given the above, Plaintiff fails to allege sufficient facts to impose a contractual duty of care upon Defendant.

***Biakanja* Factors -** In the absence of a duty created by statute or contract, courts must consider whether the nature of the activity or the relationship of the parties gives rise to a duty to support a tort of negligent interference with prospective economic advantage. (*J'Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 803 ["Where a special relationship exists between the parties, a plaintiff may recover for loss of expected economic advantage through the negligent performance of a contract although the parties were not in contractual privity."].) To determine whether a special relationship exists to give rise to a duty of care, courts evaluate the following criteria: "(1) the extent to which the transaction was intended to affect the plaintiff, (2) the foreseeability of harm to the plaintiff, (3) the degree of certainty that the plaintiff suffered injury, (4) the closeness of the connection between the defendant's conduct and the injury suffered, (5) the moral blame attached to the defendant's conduct and (6) the policy of preventing future harm." (*Id*. at 804, *citing Biakanja v. Irving* (1958) 49 Cal.2d 647, 650; *see also North American Chemical, supra,* 59 Cal.App.4th at 782.)

Plaintiff argues that even if the parties were not in contractual privity, Defendant owed Plaintiff a duty of care under the *Biakanja* factors. However, the SAC only pleaded a contractual duty of care, as it alleged that "Defendant was under a duty not to harm the Plaintiff's relationship with Hall because of the Settlement." (SAC, ¶ 16). There are no factual allegations of a special relationship between the parties outside of the alleged "contractual relationship" (SAC, ¶ 5) to allow the Court to apply the *Biakanja* factors.

Further, California cases have refused to find duty in fact settings clearly outside the *Biakanja* criteria, such as when the relationship is between adverse parties. (*See Meighan v. Shore* (1995) 34 Cal.App.4th 1025, 1040 [compiling cases, including *Omega Video, Inc. v. Superior Court* (1983) 146 Cal.App.3d 470, 480 (no duty to protect interest of adverse party).].) Here, the SAC's allegations establish that at the time that Defendant sent the Correspondence, it was an adverse party that was actively seeking possession of the Property against Plaintiff. (SAC, ¶ 2 and Exh. C.) Accordingly, as an adverse party, Defendant owed no duty of care to Plaintiff at the time it sent the Correspondence to Hall.

Given the above, Plaintiff fails to state sufficient facts to support that Defendant owed it a duty of care.

Negligence - To state a claim for negligent interference with prospective economic advantage, the plaintiff must allege sufficient facts to establish that the defendant was negligent. (*North American Chemical Co., supra,* 59 Cal.App.4th at 786.) "In order to state a cause of action for negligence, the complaint must allege facts sufficient to show a legal duty on the part of the defendant to use due care, a breach of such legal duty, and the breach as the proximate or legal cause of the resulting injury." (*Bellah v. Greenson* (1978) 81 Cal.App.3d 614, 619.)

The SAC alleges that Defendant "failed to act with reasonable care" by "at least implying that the Plaintiff had committed criminal acts including perjury," and that "Defendant could have readily ascertained that the Plaintiff's bankruptcy schedule was not perjurious but never undertook and effort to do so." (SAC, ¶ 18-19.) However, the judicially noticed bankruptcy schedule shows on its face that it was submitted under penalty of perjury, and neither the Lease nor any rental income are listed therein. (RJN, Exh. 11.) Accordingly, Defendant's statements were true.

To the extent that Plaintiff alleges that Defendant's statements implied that Plaintiff "committed criminal acts including perjury," again, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar, supra*, 67 Cal.2d at 713.) As such, Plaintiff fails to allege sufficient facts to establish that Defendant was negligent.

Damages - The final element for the tort of negligent interference with economic advantage requires the plaintiff to plead that the defendant's "negligence caused damage to plaintiff in that the relationship was actually interfered with or disrupted and plaintiff lost in whole or in part the economic benefits or advantage reasonably expected from the relationship." (*North American Chemical, supra,* 59 Cal.App.4th at 786.)

Plaintiff alleges that after receiving the Correspondence, "[f]or a period, Hall considered giving up his tenancy as a direct result of the Correspondence. For a longer period, Hall withdrew his active cooperation in litigation with the Bank concerning the Property (for fear of being involved in some sharp practice) which placed Hall's attorney at an insurmountable disadvantage." (SAC, ¶ 10.) These allegations are insufficient to establish that Plaintiff's relationship with Hall was actually interfered with or disrupted.

However, Plaintiff also alleges that Plaintiff and Hall were involved in automobile-related collateral business transactions, that Defendant knew of this economic relationship through its relationship with the Plaintiff, and that Hall stopped doing business with Plaintiff's automobile operations arm and decided not to invest in Plaintiff's automobile business as a direct and proximate result of the Correspondence. (SAC, ¶ 11-12, 15-16.) This is sufficient to allege damages. However, given that Plaintiff fails to plead sufficient facts to establish a duty of care or Defendant's negligence, Plaintiff fails to state a cause of action for negligent interference with economic relations.